

MOTION:

**April 21, 2026
Regular Meeting**

SECOND:

Res. No. 26-

RE:

AUTHORIZE THE CONTRIBUTION OF FISCAL YEAR 2027 OPERATING SURPLUS TO MAINTAIN THE REQUIRED FUND BALANCES IDENTIFIED IN THE PRINCIPLES OF SOUND FINANCIAL MANAGEMENT AND DESIGNATE FISCAL YEAR 2026 GENERAL REVENUE SURPLUS TO UNASSIGNED FUND BALANCE

ACTION:

WHEREAS, the Principles of Sound Financial Management provide financial policies necessary to assure sound stewardship of taxpayer dollars and guide the County in the planning of expenditures and revenues to ensure discipline and structural stability to weather economic cycles; and

WHEREAS, the Principles of Sound Financial Management identify annual fund balance requirements necessary to mitigate current and future economic risks; and

WHEREAS, bond rating agencies examine fund balances when considering the overall economic health and credit quality of the County; and

WHEREAS, the Prince William Board of County Supervisors amended and adopted the current Principles of Sound Financial Management on July 16, 2024 including fund balance policies regarding the Capital Reserve and Economic Development Opportunity Fund Reserve; and

WHEREAS, On April 7, 2026 staff presented to the Finance and Budget Committee a recommendation to increase unassigned fund balance from 7.5% to 15.0%; and

WHEREAS, Fiscal Year 2027 operating surplus from the general fund will be used to support these commitments;

NOW, THEREFORE, BE IT RESOLVED that the Prince William Board of County Supervisors hereby authorizes the Director of Finance/CFO to use the Fiscal Year 2027 operating surplus from the general fund to maintain required fund balances identified in the Principles of Sound Financial Management listed in priority order as follows:

1. Increase unassigned fund balance from general revenue surplus as available to achieve a long-term goal of 15.0% of general fund revenues;
2. Maintain the revenue stabilization reserve at 2.0% of general fund revenues;
3. Maintain the capital reserve at 2.0% of the current capital projects funds appropriations;
4. Maintain the fiscal year-end balance of the Economic Development Opportunity Fund at \$3,000,000;

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5. Maintain the data center revenue stabilization reserve at 10% of the prior fiscal year audited tax revenue generated from data center computer equipment and peripherals.

BE IT FURTHER RESOLVED that the Director of Finance/CFO is directed to draft an amendment to the Principles of Sound of Management to increase unassigned fund balance from 7.5% to 15.0% and provide a draft to the Board of County Supervisors for consideration;

BE IT FURTHER RESOLVED that the Director of Finance/CFO shall report the unaudited Fiscal Year 2027 operating surplus to the Prince William Board of County Supervisors;

BE IT FURTHER RESOLVED that the Director of Finance/CFO shall report the results of the Fiscal Year 2027 audit upon completion;

BE IT FURTHER RESOLVED that the Prince William Board of County Supervisors hereby authorizes the Director of Finance/CFO to designate all Fiscal Year 2026 general revenue surplus to unassigned fund balance.

Votes:

Ayes:

Nays:

Absent from Vote:

Absent from Meeting:

For Information:

Director of Finance/CFO

Management and Budget Director

ATTEST: _____

Clerk to the Board